Jefferies

USA | Software

Check Point Software

Equity Research
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GTM Weakness Strikes Again; Improvement Delayed Til 4Q

2Q total rev missed midpt of guide while billings decline of 0.5% yoy was in line with cons as CHKP continues to see pressure from GTM changes. CHKP maintained FY26 total rev guide (3% yoy) but shifted expectations to 4Q due to slipped deals (3Q to 4Q) raising execution risk. CHKP is investing in "hundreds" of sales reps (likely increasing capacity by 10-15%), which should help drive growth in '27 but raises probability of NT disruption...

...CHKP remains in the penalty box after another Q of disappointing results with fundamentals expected to trough in 3Q (revised from 2Q previously). GTM changes will take time, but the harder aspect is transforming the market's perception (we continue to believe the tech is great). Stock is likely to remain range-bound in the near term until it moves past the difficult 20% yoy billings comp in 3Q, but easing comps & AI tailwinds should help accelerate growth in '27. The quality of the business should also quietly improve with Sub rev expected to be 49% of total rev in '26, up from 45% in '25. Shares remain attractive at just 11.5x our NTM P/E with the potential for share repurchases to drive double-digit EPS growth even if growth remains pressured.

Revenue Missed Again. CHKP's 2Q total rev of $674M came in below midpt of guide of $675M and billings declined 0.5% yoy, as firewall sales were weaker than expected and drove weakness in related professional services. Prod rev of $113M came in above cons of $108M, while maintenance rev of $228M came in below cons of $235M (pressure on pro services & lower than expected refresh activity weighing on maintenance), as did sub rev at $332.6M vs $333.2M cons. Management said it saw large appliance deals pushed from 3Q to 4Q and maintained all annual guidance. It expects 3Q prod rev to decline similarly to 2Q (-14% yoy) with a return to growth in 4Q.

Subscription Accelerated but Missed Guide. CHKP reported 2Q subscription revenue of $332.6M, up 11.6% yoy and above 1Q's 11.2% yoy growth, but below the midpoint of guide of 11.8% yoy. Sub revs growth was primarily driven by strength in Email and CTEM, but was affected by the weaker appliance sales.

Current Service Billings Improved. Current service billings (current billings minus prod revs) improved to 6% yoy growth in 2Q from only 3% yoy in 1Q. We note this metric includes ST DR attributable to prod revs and maintenance but believe it needs to accelerate to support LT sub rev growth ('26 guide reasonable, given 2H25 grew 10% yoy).

2Q Billings. Billings of $639.3M were down 0.5% yoy, roughly in line with cons of down 0.6% yoy. Management noted that 2Q billings faced a 2 pt headwind from a large customer deal (both renewal and new business) shifting from an annual to a quarterly billing cadence. Looking ahead, management expects billings to decline again in 3Q (revised down from up mid- to high-single-digit guidance in 1Q) on a tough 20% comp before returning to growth in 4Q (previously said mid- to high-single digits in 1Q).

FY (Dec)	2024A	2025A	2026E	2027E
Rev. (MM)	2,565.0	2,725.4	2,809.7	2,963.1
Cons. Rev.	2,565.0	2,725.4	2,810.3	2,975.3
Cons. EPS	9.15	11.89	10.43	11.39
EPS	9.15	11.89	10.47	11.44

TARGET | ESTIMATE CHANGE

RATING	BUY
PRICE	$139.67^
PRICE TARGET | % TO PT	↓$150.00 ($160.00) | +7%
52W HIGH-LOW	$210.66 - $112.23
FLOAT (%) | ADV MM (USD)	76.4% | 179.34
MARKET CAP	$14.5B
TICKER	CHKP

^Prior trading day's closing price unless otherwise noted.

FY (Dec)	CHANGE TO JEFe		JEF vs CONS	
	2026	2027	2026	2027
REV	NM	NM	NM	NM
EPS	NM	-1%	NM	NM

2026 ($)	Q1A	Q2A	Q3	Q4	FY
EPS	2.50	↑2.55	↓2.48	↑2.95	↑10.47
PREV		2.45	2.61	2.89	10.45

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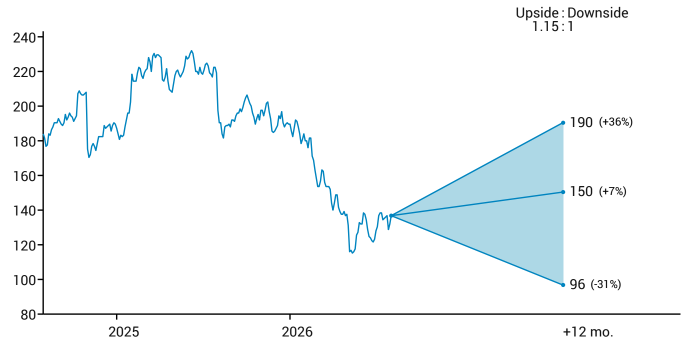
The Long View: Check Point Software

Investment Thesis

- Poised to benefit from a platform approach, which we believe is the direction of the market today.
- Strong management track record. Management has demonstrated an ability to sustain innovation and steer the company in a market that has seen many changes over the years.
- Continues to reorient itself toward growth and has the margin profile to continue to invest, even in an economic downturn.

Risk/Reward - 12 Month View



Base Case, $150, +7%

- CHKP continues to reorient itself toward growth and is willing to sacrifice leverage to grow faster
- Platform offering leading to sustained demand even in an economic downturn
- Price Target: $150; Target Multiple: 11x EV/2027E FCF

Upside Scenario, $190, +36%

- CHKP takes share from competitors, thanks to its integrated product offering
- Product cycle bottoms and re-accelerates more meaningfully than anticipated
- New products gain meaningful traction and contribute to results
- Non-GAAP operating margins remain stable
- Price Target: $190 Multiple: 14x EV/2027E FCF

Downside Scenario, $96, -31%

- Large competitors refocus their security businesses to take share from Check Point; new innovators take share at a rapid pace
- New product offerings fail to gain traction and/or product growth decelerates substantially
- Margins fall from industry-leading levels
- Price Target: $96; Multiple: 6x EV/2027E FCF

Sustainability Matters

Top Material Issues: (1) Data Security. Cybersecurity companies play a crucial role both in taking responsibility for maintaining data security and in ensuring their customers have the products and services to achieve data security. We expect a continued focus on the topic of data security, given an ever-expanding threat landscape. **(2) Employee Engagement, Diversity & Inclusion.** We see company culture as important in a labor market that continues to be defined by a skills shortage. Additionally, given the known under-representation of women and minority groups in the software industry today, a focus on building a diverse workforce is key.

Company Target: (1) Goal of being carbon-neutral by 2040. **(2)** Sustain diverse board and leadership representation.

Q's to Mgmt: (1) How do you ensure your suppliers also act sustainably? **(2)** Will greater demand for your SASE product change the profile of your environmental impact in the long run? **(3)** What are some of the definitive actions you are taking to diversify your workforce?

Software Sector ESG Integration Refresh

Catalysts

- Product refresh cycle drives positive inflection in product/license growth and total revenue acceleration potentially to industry growth rates
- Continued product innovation and growth of newer solutions
- Substantial cash position leaves optionality for M&A or return to shareholders
- Potential trend of vendor consolidation from security buyers

Valuation. CHKP trades at 3.7x EV/CY27E revenue and 8.9x EV/CY27E FCF. Our $150 PT implies 10.5x EV/CY27E FCF vs PANW's 44x and FTNT's 33x. While CHKP trades at a discount to larger platform vendors, it even trades at a discount to point solutions like TENB's 12x and QLYS's 14x.

Looking at Valuation on Recurring Rev. If we look at just Maintenance rev (stripping out the ~15% that is services) and Subscription rev, we derive that CHKP trades at just 4.9x NTM recurring rev on 7% yoy recurring rev growth, with our $150 PT implying 6.0x. While overall growth trajectory has been pressured, we continue to focus on the highly profitable recurring revenue alone. We will continue to monitor this business, but for CHKP to warrant a higher multiple than 6x, the rest of the business needs to inflect.

Expanding Sales Capacity. Management disclosed plans to add approximately 300 GTM employees globally by year-end, including both generalist and specialist sales roles, as well as hunters focused on driving new logo growth in appliances. We expect go-to-market headcount will only increase by approx 100-150, given CHKP is looking to upgrade not only the quantity but also the quality of its salesforce (represents a 10-15% increase in quota-carrying sales reps). Management expects the sales and opex impacts from these hires to begin materializing in 1H27, which could modestly weigh on next year's op margins.

1Q GTM Changes Affecting 2026 Results. CHKP implemented comprehensive GTM changes to focus generalist sales more on large enterprise accounts and new logos, affecting 100s of employees. Also, CHKP added new GTM leaders, including appointing the head of international sales as CRO, effective May 1. The GTM changes created confusion and disruption, which weighed heavily on 2Q appliance sales and will likely do so again in 3Q before improving in 4Q.

2Q Margins. CHKP reported 2Q gross margin of 87.3%, down 30bps qoq and pressured by higher memory costs. CHKP reported 2Q OPM of 38.6% vs cons 38.9%, with pressure driven by higher headcount, investments in AI security, and increased sales and marketing spend. CHKP also benefited from $28M in R&D grants to be received from the Israeli government.

RPO Bookings Growth. CHKP disclosed RPO of $2.552B (+7% yoy) in 2Q, which implies RPO bookings improved to approx 1% yoy vs down 2.5% in 1Q. CRPO was approx $1.6B, up 4% yoy.

Geographic Performance. Americas rev grew 4% yoy vs 5% in 1Q on a 1 pt easier comp. EMEA struggled, declining 1% yoy vs up 7% in 1Q on a flat comp. APAC rev grew 1% yoy vs the 3% decline in 1Q on a 1 pt tougher comp. The Americas and EMEA each represented ~44% of total revenue, with APAC accounting for the remaining 12%.

AI Network Firewall. CHKP launched its AI Network Firewall, which provides visibility and control over AI traffic, including interactions with LLMs and AI agents. The product is designed to help customers securely use gen AI, protect AI-powered applications from threats such as prompt injection and data exfiltration, and govern agents. Management noted the offering is integrated across network, cloud, and SASE environments through its broader AI Defense Plane platform.

Emerging Portfolio: SASE Out, AI Security In. CHKP replaced SASE (management noted still growing double digits) with AI Security in what it calls its emerging portfolio that also includes email security and CTEM. This group is ~$250M in combined ARR, growing over 40% in 2Q, with billings growth over 35% yoy. $250M is approx 19% of 2Q annualized subscription revenue, which means the emerging portfolio's 40% yoy ARR growth (implies rev likely higher) should drive the majority of the guided FY26 12% yoy growth (note CNAPP and Endpoint are headwinds). ***While this provides support to subscription, which we view as the most important revenue line, we see some risk to LT future growth based on the growth of current service billings (current billings minus product revs), which only grew 6% yoy in 2Q and 3% in 1Q, a deceleration from 7% in 4Q and 15% in 3Q ('26 guide reasonable, given 2H25 grew 10% yoy).***

We note that this figure includes ST deferred revenue attributable to product revs and maintenance, but believe this metric needs to accelerate to support LT subscription revenue growth.

Price Increase Timeline. CHKP raised subscription prices by 7% in July 2025, increased appliance pricing by 5% on Jan 1, and implemented an additional 5% surcharge on select appliances on May 1. Management noted the potential for further price increases in response to expected increases in memory and other component costs. ***While CHKP saw some benefit from these pricing actions, the impact was partially offset by product discounting. This is a bit befuddling on the surface, given we have seen larger increases from competitors, with FTNT announcing a 5%-20% price increase on select appliances in March, followed by additional pricing actions in May and August (noted expectations for 10%+ benefit to prod growth in 2H).***

Chart 1 - CHKP Preview

Check Point Software (CHKP) *$ in millions, except per share data*				
Jun-26A	**Results**	**Prior**	**Consensus**	**Guidance**
Products and licenses	113.4	107.6	108.3	
y/y change	-14.0%	-18.4%	-17.9%	
Software updates and maintenance	227.6	234.4	234.6	
y/y change	-3.3%	-0.4%	-0.3%	
Security subscriptions	332.6	333.0	333.2	328-338
y/y change	11.6%	11.8%	11.9%	10-13%
Total Revenue	673.6	675.0	675.5	660-690
y/y change	1.3%	1.5%	1.5%	(1)-4%
Calculated Billings (1)	639.3	637.0	638.8	
y/y change	-0.5%	-0.9%	-0.6%	
Non-GAAP Operating Margin	38.6%	38.8%	38.9%	
Non-GAAP EPS	2.55	2.45	2.45	2.40-2.50
GAAP EPS	1.87	1.74	1.77	0.70 lower vs non-GAAP
Free Cash Flow	160.7	159.9	164.8	145-175
FCF Margin	23.9%	23.7%	24.4%	24%
Sep-26E	**Jefferies Est.**	**Prior**	**Consensus**	**Guidance**
Products and licenses	108.3	113.9	112.8	
y/y change	-16.9%	-12.6%	-13.5%	
Software updates and maintenance	223.6	240.8	240.5	
y/y change	-7.5%	-0.4%	-0.5%	
Security subscriptions	337.7	343.6	343.0	332-343
y/y change	10.6%	12.5%	12.3%	
Total Revenue	669.6	698.3	695.4	655-685
y/y change	-1.2%	3.1%	2.6%	
Calculated Billings (1)	667.8	709.7	695.9	
y/y change	-0.6%	5.7%	3.6%	
Non-GAAP Operating Margin	38.4%	39.7%	39.6%	
Non-GAAP EPS	2.48	2.61	2.58	2.43-2.53
GAAP EPS	1.87	1.98	1.94	0.70 lower vs non-GAAP
Free Cash Flow	250.2	226.1	261.4	235-265
FCF Margin	37.4%	32.4%	37.6%	
2026E	**Jefferies Est.**	**Prior**	**Consensus**	**Guidance**
Products and licenses	512.6	488.0	491.4	
y/y change	-6.5%	-11.0%	-10.4%	
Software updates and maintenance	932.0	956.8	956.2	
y/y change	-2.7%	-0.2%	-0.2%	
Security subscriptions	1,365.1	1,365.5	1,365.1	1,345-1,385
y/y change	12.0%	12.0%	12.0%	10-14%
Total Revenue	2,809.7	2,810.3	2,812.9	2,770-2,850
y/y change	3.1%	3.1%	3.2%	2-5%
Calculated Billings (1)	2,955.0	2,992.9	2,979.9	
y/y change	1.7%	3.0%	2.6%	
Non-GAAP Operating Margin	39.0%	39.5%	39.5%	
Non-GAAP EPS	10.47	10.45	10.42	10.05-10.85
GAAP EPS	7.75	7.69	7.71	2.75 lower vs non-GAAP
Free Cash Flow	1,199.4	1,200.0	1,189.7	1,150-1,250
FCF Margin	42.7%	42.7%	42.3%	43%
2027E	**Jefferies Est.**	**Prior**	**Consensus**	**Guidance**
Products and licenses	522.9	500.7	507.6	
y/y change	2.0%	2.6%	3.3%	
Software updates and maintenance	926.9	947.9	963.6	
y/y change	-0.5%	-0.9%	0.8%	
Security subscriptions	1,513.2	1,506.2	1,516.1	
y/y change	10.8%	10.3%	11.1%	
Total Revenue	2,963.1	2,954.8	2,979.9	
y/y change	5.5%	5.1%	5.9%	
Calculated Billings (1)	3,180.3	3,210.7	3,157.9	
y/y change	7.6%	7.3%	6.0%	
Non-GAAP Operating Margin	39.3%	39.6%	39.7%	
Non-GAAP EPS	11.44	11.60	11.40	
GAAP EPS	8.45	8.57	8.54	
Free Cash Flow	1,267.3	1,270.0	1,253.4	
FCF Margin	42.8%	43.0%	42.1%	

Source: Jefferies, Company data, FactSet; Note: FCF guide is for adj FCF

Chart 2 - CHKP Non-GAAP Income Statement

Check Point Software (CHKP)
Income Statement, Non-GAAP
$ in millions, except per share data

	2025A					2026E					2027E				
	Mar-25A	Jun-25A	Sep-25A	Dec-25A	YearA	Mar-26A	Jun-26A	Sep-26E	Dec-26E	YearE	Mar-27E	Jun-27E	Sep-27E	Dec-27E	YearE
Products and licenses	**114.1**	**131.9**	**130.4**	**171.8**	**548.2**	**110.8**	**113.4**	**108.3**	**180.1**	**512.6**	**112.2**	**116.2**	**111.0**	**183.5**	**522.9**
% of Revenue	*18%*	*20%*	*19%*	*23%*	*20%*	*17%*	*17%*	*16%*	*23%*	*18%*	*16%*	*16%*	*15%*	*22%*	*18%*
qoq change	*-33.1%*	*15.6%*	*-1.1%*	*31.7%*		*-35.5%*	*2.3%*	*-4.5%*	*66.3%*		*-37.7%*	*3.6%*	*-4.5%*	*65.4%*	
yoy change	*13.8%*	*11.7%*	*9.7%*	*0.7%*	*7.9%*	*-2.9%*	*-14.0%*	*-16.9%*	*4.8%*	*-6.5%*	*1.3%*	*2.5%*	*2.5%*	*1.9%*	*2.0%*
Software subscriptions	**290.6**	**297.9**	**305.4**	**325.1**	**1,219.0**	**323.2**	**332.6**	**337.7**	**371.6**	**1,365.1**	**364.2**	**372.3**	**379.0**	**397.7**	**1,513.2**
% of Revenue	*46%*	*45%*	*45%*	*44%*	*45%*	*48%*	*49%*	*50%*	*47%*	*49%*	*52%*	*52%*	*53%*	*48%*	*51%*
qoq change	*-0.5%*	*2.5%*	*2.5%*	*6.5%*		*-0.6%*	*2.9%*	*1.5%*	*10.0%*		*-2.0%*	*2.2%*	*1.8%*	*5.0%*	
yoy change	*10.3%*	*9.6%*	*10.3%*	*11.3%*	*10.4%*	*11.2%*	*11.6%*	*10.6%*	*14.3%*	*12.0%*	*12.7%*	*11.9%*	*12.2%*	*7.0%*	*10.8%*
				1.0%											
Software updates and maintenance	**233.1**	**235.4**	**241.7**	**248.0**	**958.2**	**234.4**	**227.6**	**223.6**	**246.4**	**932.0**	**229.4**	**225.5**	**226.8**	**245.2**	**926.9**
New Product Attach rate	39%	34%	45%	58%		37%	13%	0%	44%		25%	35%	55%	40%	
Renewal rate	95%	95%	95%	95%		95%	95%	93%	95%		95%	95%	95%	95%	
% of Revenue	*37%*	*35%*	*36%*	*33%*	*35%*	*35%*	*34%*	*33%*	*31%*	*33%*	*33%*	*32%*	*32%*	*30%*	*31%*
qoq change	*-3.2%*	*1.0%*	*2.7%*	*2.6%*		*-5.5%*	*-2.9%*	*-1.8%*	*10.2%*		*-6.9%*	*-1.7%*	*0.6%*	*8.1%*	
yoy change	*-0.9%*	*-0.9%*	*1.0%*	*2.9%*	*0.6%*	*0.6%*	*-3.3%*	*-7.5%*	*-0.6%*	*-2.7%*	*-2.1%*	*-0.9%*	*1.5%*	*-0.5%*	*-0.5%*
Total revenue, non-GAAP	**637.8**	**665.2**	**677.5**	**744.9**	**2,725.4**	**668.4**	**673.6**	**669.6**	**798.1**	**2,809.7**	**705.8**	**714.0**	**716.8**	**826.4**	**2,963.1**
qoq change	*-9.4%*	*4.3%*	*1.8%*	*9.9%*		*-10.3%*	*0.8%*	*-0.6%*	*19.2%*		*-11.6%*	*1.2%*	*0.4%*	*15.3%*	
yoy change	*6.5%*	*6.0%*	*6.7%*	*5.9%*	*6.3%*	*4.8%*	*1.3%*	*-1.2%*	*7.1%*	*3.1%*	*5.6%*	*6.0%*	*7.0%*	*3.5%*	*5.5%*
Cost of products and licenses	22.9	26.1	24.5	31.7	105.2	27.3	27.7	26.5	45.0	126.6	28.6	29.6	28.3	46.8	133.3
GM on product and licenses	*79.9%*	*80.2%*	*81.2%*	*81.5%*	*80.8%*	*75.4%*	*75.6%*	*75.5%*	*75.0%*	*75.3%*	*74.5%*	*74.5%*	*74.5%*	*74.5%*	*74.5%*
Cost of software subscriptions	21.4	23.0	22.7	23.8	90.9	23.9	24.4	25.3	29.7	103.4	29.1	29.8	30.3	31.8	121.1
GM on software subscriptions	*92.6%*	*92.3%*	*92.6%*	*92.7%*	*92.5%*	*92.6%*	*92.7%*	*92.5%*	*92.0%*	*92.4%*	*92.0%*	*92.0%*	*92.0%*	*92.0%*	*92.0%*
Cost of software updates and maintenance	30.0	31.0	28.5	29.6	119.1	31.9	33.5	33.5	37.0	135.9	34.4	33.8	34.0	36.8	139.0
GM on software updates and maintenance	*87.1%*	*86.8%*	*88.2%*	*88.1%*	*87.6%*	*86.4%*	*85.3%*	*85.0%*	*85.0%*	*85.4%*	*85.0%*	*85.0%*	*85.0%*	*85.0%*	*85.0%*
Amortization of technology	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total cost of revenue	74.3	80.1	75.7	85.1	315.2	83.1	85.6	85.4	111.7	365.8	92.2	93.2	92.6	115.4	393.4
Gross profit, non-GAAP	**563.5**	**585.1**	**601.8**	**659.8**	**2,410.2**	**585.3**	**588.0**	**584.2**	**686.4**	**2,443.9**	**613.7**	**620.8**	**624.1**	**711.0**	**2,569.6**
Gross margin, non-GAAP	*88.4%*	*88.0%*	*88.8%*	*88.6%*	*88.4%*	*87.6%*	*87.3%*	*87.2%*	*86.0%*	*87.0%*	*86.9%*	*86.9%*	*87.1%*	*86.0%*	*86.7%*
Sales and marketing	198.0	197.6	200.7	230.8	827.1	217.0	214.4	214.9	240.2	886.6	218.8	221.4	225.8	247.9	913.9
% of Revenue	*31.0%*	*29.7%*	*29.6%*	*31.0%*	*30.3%*	*32.5%*	*31.8%*	*32.1%*	*30.1%*	*31.6%*	*31.0%*	*31.0%*	*31.5%*	*30.0%*	*30.8%*
Research and development	85.9	93.8	94.3	101.8	375.8	80.6	87.2	88.4	105.3	361.5	93.2	94.3	95.3	107.4	390.2
% of Revenue	*13.5%*	*14.1%*	*13.9%*	*13.7%*	*13.8%*	*12.1%*	*12.9%*	*13.2%*	*13.2%*	*12.9%*	*13.2%*	*13.2%*	*13.3%*	*13.0%*	*13.2%*
General & administrative	21.0	22.6	24.9	24.5	93.0	23.1	26.7	23.4	27.1	100.4	24.0	24.3	25.1	28.1	101.5
% of Revenue	*3.3%*	*3.4%*	*3.7%*	*3.3%*	*3.4%*	*3.5%*	*4.0%*	*3.5%*	*3.4%*	*3.6%*	*3.4%*	*3.4%*	*3.5%*	*3.4%*	*3.4%*
Total operating expenses	304.9	314.0	319.9	357.1	1,295.9	320.7	328.3	326.8	372.7	1,348.5	336.0	339.9	346.2	383.5	1,405.5
Operating income (loss), non-GAAP	**258.6**	**271.1**	**281.9**	**302.7**	**1,114.3**	**264.6**	**259.7**	**257.4**	**313.7**	**1,095.4**	**277.7**	**280.9**	**277.9**	**327.6**	**1,164.1**
Operating margin, non-GAAP	*40.5%*	*40.8%*	*41.6%*	*40.6%*	*40.9%*	*39.6%*	*38.6%*	*38.4%*	*39.3%*	*39.0%*	*39.3%*	*39.3%*	*38.8%*	*39.6%*	*39.3%*
Financial income, net	27.3	28.5	28.7	29.5	114.0	42.2	42.9	39.9	38.1	163.1	37.0	38.1	37.0	36.3	148.4
Pre-tax income	285.9	299.6	310.6	332.2	1,228.3	306.8	302.6	297.4	351.7	1,258.5	314.7	319.0	315.0	363.9	1,312.5
Income taxes	39.7	38.2	(120.8)	(36.0)	(78.9)	41.5	39.1	44.6	52.8	178.0	47.2	47.8	47.2	54.6	196.9
Tax rate	*13.9%*	*12.8%*	*-38.9%*	*-10.8%*	*-6.4%*	*13.5%*	*12.9%*	*15.0%*	*15.0%*	*14.1%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*
Net income (loss), non-GAAP	**246.2**	**261.4**	**431.4**	**368.2**	**1,307.2**	**265.3**	**263.5**	**252.8**	**299.0**	**1,080.6**	**267.5**	**271.1**	**267.7**	**309.3**	**1,115.7**
Net margin, non-GAAP	*38.6%*	*39.3%*	*63.7%*	*49.4%*	*48.0%*	*39.7%*	*39.1%*	*37.7%*	*37.5%*	*38.5%*	*37.9%*	*38.0%*	*37.3%*	*37.4%*	*37.7%*
EPS, non-GAAP	**$2.21**	**$2.37**	**$3.94**	**$3.40**	**$11.89**	**$2.50**	**$2.55**	**$2.48**	**$2.95**	**$10.47**	**$2.68**	**$2.76**	**$2.77**	**$3.25**	**$11.44**
yoy change	*8.6%*	*9.3%*	*74.9%*	*25.6%*	*30.0%*	*13.1%*	*7.5%*	*-37.1%*	*-13.1%*	*-12.0%*	*7.2%*	*8.3%*	*11.6%*	*10.0%*	*9.3%*
Basic shares	107.9	107.1	107.4	106.7	107.3	104.7	102.9	101.1	99.3	102.0	97.8	96.3	94.8	93.3	95.6
Fully diluted shares	111.4	110.4	109.5	108.4	109.9	106.1	103.5	102.0	101.3	103.2	99.8	98.3	96.8	95.3	97.6

Source: Jefferies, Company data

Chart 3 - CHKP Balance Sheet

Check Point Software (CHKP)
Balance Sheet
$ in millions, except per share data

	2025A					2026E					2027E				
	Mar-25A	Jun-25A	Sep-25A	Dec-25A	YearA	Mar-26A	Jun-26A	Sep-26E	Dec-26E	YearE	Mar-27E	Jun-27E	Sep-27E	Dec-27E	YearE
Current assets															
Cash & cash equivalents	450.2	611.7	619.9	1,800.0	1,800.0	1,072.5	596.3	509.5	503.7	503.7	622.5	507.2	430.8	423.0	423.0
Marketable securities	1,012.0	912.7	849.1	1,214.9	1,214.9	1,696.3	1,683.2	1,683.2	1,683.2	1,683.2	1,683.2	1,683.2	1,683.2	1,683.2	1,683.2
Trade receivables	399.7	467.7	428.4	769.1	769.1	410.1	491.3	445.2	809.4	809.4	439.4	548.4	529.0	929.9	929.9
Other receivables and prepaid expenses	94.5	104.9	133.7	180.0	180.0	178.4	159.6	147.3	204.3	204.3	112.9	114.2	164.9	214.9	214.9
Total current assets	**1,956.4**	**2,097.0**	**2,031.1**	**3,964.0**	**3,964.0**	**3,357.3**	**2,930.4**	**2,785.2**	**3,200.6**	**3,200.6**	**2,858.0**	**2,853.0**	**2,807.8**	**3,251.0**	**3,251.0**
Marketable securities	1,469.8	1,389.0	1,348.2	1,326.8	1,326.8	1,610.9	1,923.9	1,923.9	1,923.9	1,923.9	1,923.9	1,923.9	1,923.9	1,923.9	1,923.9
Deferred income taxes, net	80.6	83.6	62.4	68.3	68.3	73.1	74.5	16.7	72.9	72.9	78.4	80.6	18.2	79.7	79.7
Property & equipment, net	83.0	76.2	83.1	82.9	82.9	85.8	86.0	87.9	89.7	89.7	91.4	93.0	94.5	95.9	95.9
Goodwill and other intangibles, net	1,877.9	1,949.0	1,929.8	2,118.5	2,118.5	2,204.4	2,197.6	2,197.6	2,197.6	2,197.6	2,197.6	2,197.6	2,197.6	2,197.6	2,197.6
Severance pay fund	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other	90.2	91.9	245.0	245.9	245.9	281.0	299.7	299.7	299.7	299.7	299.7	299.7	299.7	299.7	299.7
Total assets	**5,557.9**	**5,686.7**	**5,699.6**	**7,806.4**	**7,806.4**	**7,612.5**	**7,512.1**	**7,311.0**	**7,784.4**	**7,784.4**	**7,449.1**	**7,447.8**	**7,341.7**	**7,847.8**	**7,847.8**
Liabilities & shareholders' equity															
Trade payables and other accrued liabilities	394.8	407.4	395.3	406.6	406.6	382.4	355.1	297.6	431.9	431.9	313.7	380.8	314.6	445.3	445.3
Deferred revenue	1,389.8	1,352.7	1,317.3	1,530.1	1,530.1	1,429.7	1,397.5	1,373.7	1,593.5	1,593.5	1,482.0	1,444.9	1,423.3	1,665.2	1,665.2
Current liabilities	**1,784.6**	**1,760.1**	**1,712.6**	**1,936.7**	**1,936.7**	**1,812.1**	**1,752.6**	**1,671.4**	**2,025.4**	**2,025.4**	**1,795.7**	**1,825.8**	**1,737.9**	**2,110.6**	**2,110.6**
Convertible senior notes	0.0	0.0	0.0	1,972.1	1,972.1	1,973.5	1,974.9	1,974.9	1,974.9	1,974.9	1,974.9	1,974.9	1,974.9	1,974.9	1,974.9
Long-Term Deferred Revenue	525.6	540.0	569.5	650.3	650.3	629.8	627.7	649.7	732.2	732.2	728.2	746.4	783.7	877.7	877.7
Income tax accrual	467.4	517.1	304.7	329.7	329.7	350.1	390.0	321.4	383.1	383.1	338.8	342.7	344.0	396.7	396.7
Deferred tax liability, net	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Accrued severance pay	31.8	34.7	33.0	35.5	35.5	32.7	29.8	29.8	29.8	29.8	29.8	29.8	29.8	29.8	29.8
Shareholders' equity	2,748.5	2,834.8	3,079.8	2,882.1	2,882.1	2,814.3	2,737.1	2,663.9	2,639.0	2,639.0	2,581.8	2,528.3	2,471.4	2,458.1	2,458.1
Total liabilities & shareholders' equity	**5,557.9**	**5,686.7**	**5,699.6**	**7,806.4**	**7,806.4**	**7,612.5**	**7,512.1**	**7,311.0**	**7,784.4**	**7,784.4**	**7,449.1**	**7,447.8**	**7,341.7**	**7,847.8**	**7,847.8**

Source: Jefferies, Company data

Chart 4 - CHKP Cash Flow Statement

Check Point Software (CHKP)
Cash Flow Statement
$ in millions, except per share data

	2025A					2026E					2027E				
	Mar-25A	**Jun-25A**	**Sep-25A**	**Dec-25A**	**YearA**	**Mar-26A**	**Jun-26A**	**Sep-26E**	**Dec-26E**	**YearE**	**Mar-27E**	**Jun-27E**	**Sep-27E**	**Dec-27E**	**YearE**
Net income	$190.9	$202.8	$358.7	$304.5	$1,056.9	$191.6	$193.8	$190.3	$224.5	$800.3	$198.1	$200.9	$197.2	$228.0	$824.2
D&A of property and equipment	5.2	5.7	6.3	7.6	24.8	6.6	6.9	7.0	7.1	27.6	7.2	7.3	7.4	7.5	29.4
Stock-based compensation expense	41.2	45.9	62.1	56.4	205.6	59.8	55.9	54.9	65.4	236.0	62.1	62.8	63.1	72.7	260.7
Realized gain on marketable securities	0.1	0.0	0.0	(0.1)	0.0	(0.1)	0.0	0.0	0.0	(0.1)	0.0	0.0	0.0	0.0	0.0
Amortization of intangible assets	19.2	19.6	19.1	10.2	68.1	12.9	12.4	18.6	22.2	66.0	19.6	19.8	19.9	22.9	82.3
Deferred income taxes	(22.8)	(3.6)	15.3	(13.4)	(24.5)	0.8	(1.2)	57.8	(56.2)	1.2	(5.6)	(2.2)	62.4	(61.4)	(6.8)
Decrease (increase) in trade and other receivables, net	329.4	(75.0)	45.4	(382.7)	(82.9)	300.2	(79.6)	58.4	(421.2)	(142.2)	461.4	(110.3)	(31.1)	(451.0)	(131.1)
Increase in deferred rev, trade payables, and other accrued expenses and liabilities	(142.1)	66.7	(266.3)	327.9	(13.8)	(127.9)	(20.0)	(127.9)	498.2	222.5	(278.0)	52.2	(49.3)	519.4	244.3
Changes in operating assets & liabilities	187.3	(8.3)	(220.9)	(54.8)	(96.7)	173.7	(98.2)	(69.5)	77.0	83.0	183.4	(58.1)	(80.4)	68.4	113.2
Net cash provided by operating activities	**421.1**	**262.1**	**240.6**	**310.4**	**1234.2**	**445.3**	**169.6**	**259.1**	**340.1**	**1214.1**	**464.7**	**230.5**	**269.5**	**338.1**	**1302.9**
Purchase of property, plant and equipment	(7.4)	(6.1)	(5.9)	(7.2)	(26.6)	(9.4)	(8.9)	(8.9)	(8.9)	(36.1)	(8.9)	(8.9)	(8.9)	(8.9)	(35.6)
Acquisitions, net of cash acquired	0.0	(83.7)	0.0	(189.4)	(273.1)	(92.2)	(2.2)	0.0	0.0	(94.4)	0.0	0.0	0.0	0.0	0.0
Investment in prepaid lease payment	0.0	0.0	(159.9)	0.0	(159.9)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net cash used by investing activities	**(7.4)**	**(89.8)**	**(165.8)**	**(196.6)**	**(459.6)**	**(101.6)**	**(11.1)**	**(8.9)**	**(8.9)**	**(130.5)**	**(8.9)**	**(8.9)**	**(8.9)**	**(8.9)**	**(35.6)**
Proceeds from issuance of shares upon exercise of options	46.0	138.7	153.8	54.7	393.2	34.4	11.2	0.0	0.0	45.6	0.0	0.0	0.0	0.0	0.0
Purchase of treasury shares	(325.0)	(325.0)	(325.0)	(425.0)	(1400.0)	(325.0)	(324.9)	(324.9)	(324.9)	(1299.7)	(324.9)	(324.9)	(324.9)	(324.9)	(1299.6)
Payments related to shares withheld for taxes	(1.5)	(12.8)	(5.3)	(1.3)	(20.9)	(0.9)	(12.1)	(12.1)	(12.1)	(37.2)	(12.1)	(12.1)	(12.1)	(12.1)	(48.4)
Other	0.0	0.0	0.0	1779.7	1779.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net cash used by financing activities	**(280.5)**	**(199.1)**	**(176.5)**	**1408.1**	**752.0**	**(291.5)**	**(325.8)**	**(337.0)**	**(337.0)**	**(1291.3)**	**(337.0)**	**(337.0)**	**(337.0)**	**(337.0)**	**(1348.0)**
Unrealized gain on marketable securities, net	15.0	8.2	5.5	2.6	31.3	(14.2)	(9.0)	0.0	0.0	(23.2)	0.0	0.0	0.0	0.0	0.0
Net increase/decrease in cash and cash equivalents	148.2	-18.6	-96.2	1,524.5	1,557.9	38.0	-176.3	-86.8	-5.8	-230.9	118.8	-115.4	-76.4	-7.8	-80.7
Cash and cash equivalents at beginning of period	2,783.8	2,932.0	2,913.4	2,817.2	2,791.8	4,341.7	4,379.7	4,203.4	4,116.6	4,349.7	4,110.8	4,229.6	4,114.2	4,037.8	4,118.8
Cash and cash equivalents at end of period	2,932.0	2,913.4	2,817.2	4,341.7	4,349.7	4,379.7	4,203.4	4,116.6	4,110.8	4,118.8	4,229.6	4,114.2	4,037.8	4,030.1	4,038.1

Source: Jefferies, Company data

Chart 5 - CHKP DCF Base Case

Check Point Software (CHKP)
Discounted Cash Flow Analysis

	Year 1	Transition	Terminal
Current risk-free rate of return	3.50%		3.50%
Historical risk-free rate of return	5.20%	5.20%	5.20%
Beta	1.10		1.00
Equity Risk Premium	6.50%		6.50%
Market rate of return	11.70%	11.70%	11.70%
Cost of equity	10.65%		10.00%

Scenario 1: Base Case. CHKP continues to manage a dynamic market well and a shift to a greater portion of sales allocated to recurring revenue has a positive effect on future revenue and cash flow.

	HISTORICALS				Forecast				TRANSITIONARY PERIOD					TERMINAL	
	2022A	2023A	2024A	2025A	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	Perpetuity
Current risk-free rate of return	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	
Historical risk-free rate of return	5.2%	5.2%	5.2%	5.2%	5.2%	5.2%	5.2%	5.2%	5.2%	5.2%	5.2%	5.2%	5.2%	5.2%	
Beta	1.10	1.10	1.10	1.10	1.10	1.10	1.10	1.10	1.08	1.07	1.05	1.03	1.02	1.00	
Risk Premium	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	
Market rate of return	11.7%	11.7%	11.7%	11.7%	11.7%	11.7%	11.7%	11.7%	11.7%	11.7%	11.7%	11.7%	11.7%	11.7%	
Cost of equity	10.7%	10.7%	10.7%	10.7%	10.7%	10.7%	10.7%	10.7%	10.5%	10.4%	10.3%	10.2%	10.1%	10.0%	
FCF Growth Rate (incl. stock buyback related to dilution)	18%	-64%	116%	16%	24%	24%	13%	7%	6%	6%	5%	4%	4%	3%	
Free cash flow to the enterprise (incl. stock buyback related to dilution)	704	252	543	629	778	962	1,087	1,163	1,237	1,307	1,372	1,432	1,484	1,529	21,839
NPV of Free cash flow ($M)	704	252	543	569	636	710	725	701	678	652	625	597	567		7,655
Cumulative NPV of FCFE ($M)					636	1,346	2,071	2,772	3,450	4,103	4,728	5,324	5,891		13,546

Cumulative NPV of FCFE ($ M)		13,546
Shares outstanding (M)		103.5
NPV/Share of FCFE	$	130.87
Net cash/ Share - 10% of revenue *	$	18.86
Total NPV/Share	**$**	**149.73**

Source: Jefferies, Company data

Company Description

Check Point Software

Check Point Software provides software blades and appliances that secure traffic between internal networks, the Internet, and private networks. The company became a pioneer through its FireWall-1 and Stateful Inspection technologies, which are still the foundation for most network security technology today. Its Blade architecture enables security gateway customization according to customer needs and combines into one centrally managed deployment. Customers include tens of thousands of businesses and organizations of all sizes. The company was founded in 1993 and is headquartered in Tel Aviv, Israel.

Company Valuation/Risks

Check Point Software

Our $150 price target is based on a DCF analysis (WACC 10%), which accounts for stock-based comp. Risks include slower growth and incumbent vendors re-engaging.

Qualys, Inc.

Our $150 price target is based on a DCF and implied 6x EV/CY27E revenue. Downside risks include a competitive environment, the landscape within exposure management continues to be dominated by large established vendors, with CRWD potentially slowing QLYS' expansion into categories beyond core vulnerability management. While we see progress in growth areas outside core VM as positive, it will take time to see an acceleration to overall company growth, which could be seen as an upside risk

Tenable Holdings, Inc.

Our $30 price target is based on a DCF and implied 3x EV/CY27E revenue. Risks include a competitive environment, the landscape within exposure management continues to be dominated by large established vendors, with CRWD potentially slowing TENB's expansion into categories beyond core vulnerability management.

Analyst Certification:

I, Joseph Gallo, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

I, Brent Thill, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

Recommendation Published	July 30, 2026 17:05 P.M.
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Company Specific Disclosures

Within the past twelve months, Jefferies Financial Group Inc. and/or its affiliates received compensation for products and services other than investment banking services from non-investment banking, securities related compensation for client services it provided to Check Point Software Technologies Ltd..

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Buy - Describes securities that we expect to provide a total return (price appreciation plus yield) of 15% or more within a 12-month period.
Hold - Describes securities that we expect to provide a total return (price appreciation plus yield) of plus 15% or minus 10% within a 12-month period.
Underperform - Describes securities that we expect to provide a total return (price appreciation plus yield) of minus 10% or less within a 12-month period.
The expected total return (price appreciation plus yield) for Buy rated securities with an average security price consistently below $10 is 20% or more within a 12-month period as these companies are typically more volatile than the overall stock market. For Hold rated securities with an average security price consistently below $10, the expected total return (price appreciation plus yield) is plus or minus 20% within a 12-month period. For Underperform rated securities with an average security price consistently below $10, the expected total return (price appreciation plus yield) is minus 20% or less within a 12-month period.
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Risks which may impede the achievement of our Price Target

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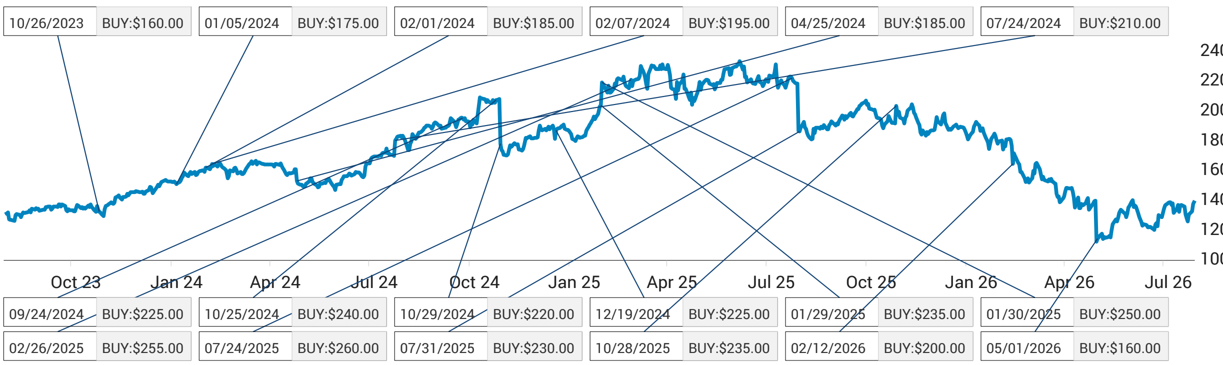
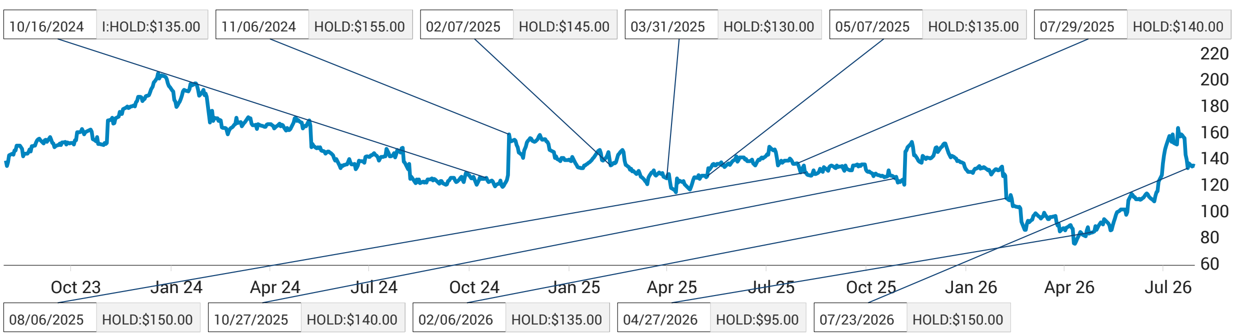
Other Companies Mentioned in This Report

- Check Point Software Technologies Ltd. (CHKP: $139.67, BUY)
- Qualys, Inc. (QLYS: $135.13, HOLD)
- Tenable Holdings, Inc. (TENB: $31.48, HOLD)

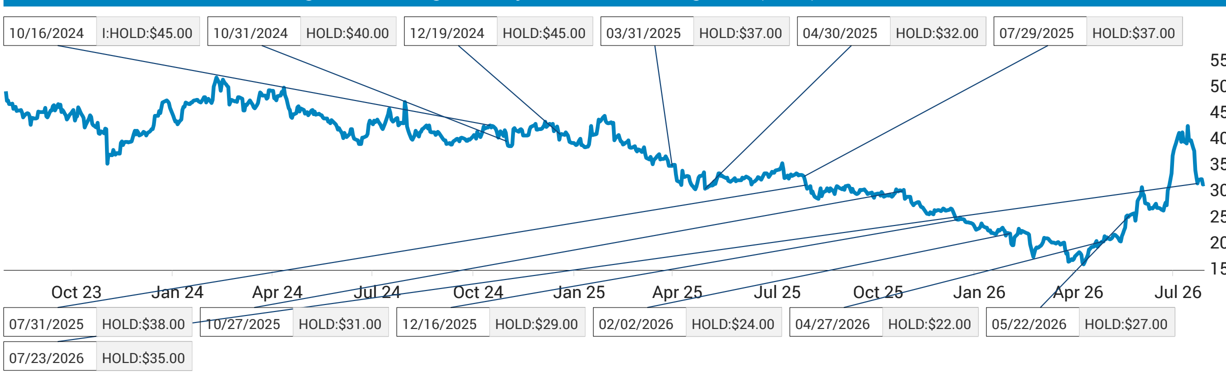
Rating and Price Target History for: Check Point Software Technologies Ltd. (CHKP) as of 07-29-2026



Rating and Price Target History for: Qualys, Inc. (QLYS) as of 07-29-2026



Rating and Price Target History for: Tenable Holdings, Inc. (TENB) as of 07-29-2026



Notes: Each box in the Rating and Price Target History chart above represents actions over the past three years in which an analyst initiated on a company, made a change to a rating or price target of a company or discontinued coverage of a company.
Legend:

I: Initiating Coverage

D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

Distribution of Ratings

			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2233	62.48%	391	17.51%	113	5.06%
HOLD	1182	33.07%	94	7.95%	14	1.18%
UNDERPERFORM	159	4.45%	0	0.00%	0	0.00%

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